

this market are government initiatives, growing acceptance of smart applications and increasing Internet penetration across the country.

The Indian government has launched various projects (such as 100 Smart Cities project) and is encouraging organisations to implement the IoT. The smart cities project is expected to play a vital role in the overall growth of the market. World Bank and Asian Development Bank are expected to provide loans of US\$ 500 million and US\$ 1 billion, respectively, to India for this project. Amongst all IoT applications, industrial applications account for the maximum revenue share in the Indian market, owing to their growing usage in energy management, smart buildings, manufacturing and the environment.

In sync with the above-mentioned projections, all executives we interviewed stated that the IoT business across the country will see positive growth in the financial year 2017-18. However, there are mixed opinions about the percentage of expected growth. Sixty-seven per cent of the respondents expect 20 to 30 per cent year-on-year growth (Fig. 2).

## Growth drivers

At present, growth of the IoT business is primarily driven by consumers shifting from using devices such as laptops and tablets to smart sensors, wearables and clustered systems like fitness trackers or smart homes. However, with the goal of improving human productivity, safety and overall quality of life through a network of smart connected devices, the potential of IoT technology lies far beyond just consumer electronics. It shows promise in other markets and application areas including energy, water and traffic management, industrial IoT, surveillance and security, and so on.

High growth in this market is anticipated on account of ongoing

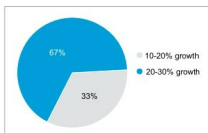


Fig. 2: Forecast for YoY growth of the IoT industry in FY 2017-18

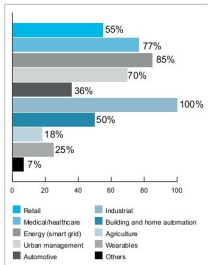


Fig. 3: Growth of the IoT industry within the main application sectors in India

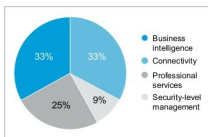


Fig. 4: Expected revenue generation options in the IoT business in India

developments in IoT technology, which provide better connectivity and coverage as well as real-time monitoring/tracking of services and systems across diverse industry verticals to reduce operational and manpower costs.

Apart from smart cities, various other government projects such as smart transportation and smart grids are also expected to propel the adoption of IoT technology across the country. Therefore the initial

smart product-oriented applications in white goods, cars and the like will be extended to improve factors like supply chain agility, manufacturing and operations efficiency.

Survey participants anticipate maximum growth in IoT business from the following sectors (Fig. 3):

- Industrial
- Energy
- Medical/healthcare

Organisations in industries such as consumer durables, automotive, electricity supply, manufacturing, logistics and retail, that can effectively harness and exploit the data generated by the IoT, will enjoy a significant competitive advantage.

The IoT market offers immense revenue-generation opportunities in the following areas:

- Business intelligence and analytics for decision support
- Security-level management and performance management
- Professional services like consulting, integration and software development
- Connectivity and communication services, associated hardware, devices and components

In a market survey that *Electronics Bazaar* conducted last year, around half the survey participants believed that smart services like business intelligence and analytics would account for a major share of the market.

However, this year, survey participants gave almost equal importance to business intelligence and analytics, professional services, and connectivity and communication services (Fig. 4) with respect to their share of the overall revenue pie. This trend may result in additional opportunities for the electronics industry.

According to 33 per cent of the survey participants, value creation will also stem from hardware, software, services and integration activities provided by technology companies that enable the IoT (Fig. 4). Device connectivity is the fundamental aspect of any IoT ap-